

SALES & DISTRIBUTION MANAGEMENT | CASE ANALYSIS

Aarav Apparel: Ending the Channel War

An omni-channel sales organisation, attribution logic, budget split and alignment mechanism for FY27

Prepared for the Chief Financial Officer · 120 stores · D2C and marketplace · July 2026

1. Situation Summary

Aarav Apparel enters FY27 with a commercial system that is working and an organisation that is not. Booked revenue of **₹1,150 crore** in FY26 came 77% from 120 own stores and 23% from a digital business that did not exist three years ago. Every headline number is healthy. Every internal number that matters — capture rate, cross-channel customer share, field engagement, price integrity — is deteriorating.

The presenting complaint is showrooming. A customer walks into an Aarav store in Indore, is fitted by an associate for twenty minutes, photographs the tag, and buys the same style that evening on Myntra at 26% off. The store books nothing. The associate's variable pay records nothing. The digital P&L books the full sale and the digital team books the full credit. Repeated a few thousand times a month across 120 catchments, this is no longer a grievance about a single transaction; it is a structural mis-measurement that is quietly repricing the effort of 1,080 store-facing employees to zero.

The resentment is rational rather than emotional. Store staff are held to a 1.20% commission on own-store till sales while the company deliberately runs an average online discount of 26% against 12% in store — a 14-point gap the field cannot match and did not set. Digital is credited with 100% of any journey that closes online, which is the same as saying that discovery, fitting, trial and trust are worth nothing. On the credit model in Section 5, stores materially influenced 85% of FY26 revenue, not 77%.

Three market forces make this urgent rather than merely unfair. First, quick commerce has arrived in fashion. Myntra's M-Now now runs a 30-minute proposition from more than 87 dark stores across ten markets including Patna, Jaipur, Lucknow and Ahmedabad (Indian Retailer, 2025; TechCrunch, 2024), which removes the last operational advantage a store held over an app — immediacy. Second, marketplace economics are tightening: effective deductions of 30–40% of selling price once commission, logistics and returns are counted (Terra Insight, 2025) mean marketplace growth buys revenue at roughly two-thirds the gross margin of a store sale. Third, the traffic is moving in the other direction too — India's leading D2C brands, having exhausted cheap online acquisition, are opening physical stores at speed, with Snitch targeting 100 stores and The Souled Store 200 (Inc42, 2025; Exchange4media, 2025). Aarav already owns the 120-store asset those brands are paying to build. It is currently accounting for that asset as a cost centre.

The CFO's real question

Not "how much should digital get?" but "what is the store network actually worth to the enterprise once we measure it honestly, and what organisation, credit system, budget and incentive structure follow from that number?" The four answers in this report are internally consistent: change one and the others must move.

2. Assumptions

No figure below was supplied in the brief. All are stated assumptions, chosen to be internally consistent and plausible for a mid-size Indian apparel retailer of this footprint. Every number used anywhere in this report derives from this box. 1 crore = 10 million; ₹ figures are net of GST. Sensitivities to the three assumptions that most move the conclusion are given in Section 9.

Exhibit 1 — Assumptions box

Parameter	Assumed value (FY26)	Basis / note
Net revenue	₹1,150 cr	Base year FY26 (ended Mar-26)
Channel mix — own stores	₹885 cr (77.0%)	Exclusive brand outlets, company-operated
Channel mix — marketplace	₹184 cr (16.0%)	Myntra ~46%, Ajio ~24%, Flipkart/Amazon ~30% of this
Channel mix — D2C site & app	₹81 cr (7.0%)	Launched FY25
Store count / net adds FY27	120 / +18	58 metro-mall, 44 tier-2 high street, 18 tier-3
Average store carpet area	2,300 sq ft	Format average
Revenue per store p.a.	₹7.38 cr	₹885 cr ÷ 120
Average selling price (net)	₹1,780	64.6 lakh units FY26
Gross margin by channel	Store 52% · D2C 55% · MP 37%	Marketplace net of commission, ads, returns

Parameter	Assumed value (FY26)	Basis / note
Store contribution margin	17.5% of store net sales	After rent 9.5%, payroll 6.8%, utilities/other
Return rate	Store 3% · D2C 17% · MP 29%	Blended 14.2%
Average discount to MRP	Store 12% · D2C 18% · MP 26%	The 14-point store-vs-marketplace gap
Headcount — store-facing	1,080 (avg 9/store)	+16 area managers, +4 zonal heads
Headcount — digital	62	D2C 34, marketplace 20, quick commerce 8
Headcount — omni ops / CRM / planning	45	Currently split across functions
Identified-customer capture (ICR)	39% of store bills	100% online by definition
Loyalty base	4.2 mn members, 1.6 mn active	Active = transacted in last 12 months
Cross-channel customer share	9% of active customers	Transacted in 2 or more channels
Blended new-customer CAC	D2C ₹690 · MP ₹255	Media only; excludes commission
Digital revenue landing within 8 km of a store	68%	Catchment overlap; drives the catchment KPI
Store-fulfilled share of digital orders	4%	Ship-from-store and click & collect
Average fixed CTC	Associate ₹2.9 L · Digital ₹14 L	Used only to size the incentive pool
FY27 plan — net revenue	₹1,392 cr (+21%)	Stores ₹1,001 cr · MP ₹258 cr · D2C ₹133 cr
S&D budget under CFO review, FY27	₹139 cr (10.0% of plan)	FY26 actual ₹118 cr
FY26 split of that budget	Store ₹44 cr · Digital ₹68 cr · Shared ₹6 cr	37% / 58% / 5% — the imbalance in question
Cost of capital (WACC)	12.5%	Hurdle for budget lines: 18% 3-yr IRR

All values assumed for analysis. Percentages may not sum exactly owing to rounding.

3. Analytical Approach

Four established lenses are applied to Aarav's facts. They are used as tools, not described as theory.

Exhibit 2 — Lens applied to question

Lens	Applied to	What it forces us to conclude
Channel conflict and channel power (Stern and El-Ansary, 1992; Ailawadi and Farris, 2017)	Q1 — organisation	Conflict is a symptom of two units optimising different objective functions. Fix the objective function above the units, not the behaviour inside them.
Responsibility-centre design and internal transfer pricing (Anthony and Govindarajan, 2007)	Q2, Q4 — credit and fulfilment	Credit and cash must be allowed to diverge. Ship-from-store is an internal service and must carry an internal price.
Fractional credit allocation in the spirit of Shapley (1953), operationalised as rule-based multi-touch attribution	Q2 — attribution	Credit should track marginal contribution to the journey, not the location of the till. Symmetry is the test of fairness.
Expectancy-based compensation and scorecard cascade (Churchill, Ford and Walker, 2000; Zoltners, Sinha and Lorimer, 2008; Kaplan and Norton, 1996)	Q4 — alignment	Effort follows measurable, attainable, personally consequential metrics. A metric an associate cannot influence produces cynicism, not effort.

The empirical anchor is that omni-channel customers are worth more than single-channel ones: the 46,000-shopper study by Sopadjeva, Dholakia and Benjamin (2017) found multi-channel shoppers spent roughly 10% more online and were worth about 30% more over their lifetime, and Indian retailers such as Shoppers Stop have built click-and-collect, endless-aisle and ship-from-store capability on precisely that logic (Indian Apparel, n.d.). If that holds at Aarav, then any system which taxes the store for creating a digital customer is destroying value, not merely allocating it badly.

4. Question 1 — The Omni-Channel Sales Organisation

Aarav today runs two sales organisations that meet only in the CEO's review. Retail reports to a Retail Director; D2C and marketplace report to a Chief Digital Officer with an independent P&L and growth target. Two P&Ls chasing the same customer in the same pincode will compete for that customer, because each is rewarded for doing so.

4.1 Recommended structure

Collapse the two into one commercial organisation under a new Chief Commercial Officer (CCO) who owns total demand — every rupee, every channel. Below the CCO sit four directors: two channel-facing, two shared. The design rule is explicit and should be written into the mandate: no unit below the CCO owns a customer; units own channels, the CCO owns customers.

Exhibit 3 — Reporting lines

Level	Role	Solid line to	Dotted line to (and for what)
1	Chief Commercial Officer (new)	CEO	CFO — owns the single demand plan and the S&D budget
2	Director, Retail Sales (120→138 stores)	CCO	Dir. Omni Operations — fulfilment SLA and stock accuracy
2	Director, Digital Commerce	CCO	Dir. Retail Sales — catchment demand plan sign-off
2	Director, Omni Operations (shared)	CCO	COO — supply chain execution
2	Director, Customer & CRM (shared)	CCO	CMO — brand and loyalty proposition
3	4 × Zonal Retail Head (N/S/E/W)	Dir. Retail Sales	Digital Catchment Leads — joint zone forecast
3	D2C Lead · Marketplace Lead · Quick-Commerce Lead	Dir. Digital Commerce	Zonal Retail Heads — catchment targets
4	16 × Area Manager (7–9 stores)	Zonal Retail Head	Chairs the Catchment Council (see 4.3)
4	16 × Digital Catchment Analyst (new, redeployed)	Digital Commerce	Area Manager — sits in the Catchment Council
5	138 × Store Manager	Area Manager	—
6	~1,240 × Store associates / stylists	Store Manager	—

4.2 The three structural moves that matter

- One P&L above the channels.** Retail and Digital keep contribution reporting for cost control but lose independent revenue targets. Only the CCO carries a revenue number. This removes the incentive for either director to win a transfer at the other's expense.
- Shared services are peers, not support.** Omni Operations (availability-to-promise, ship-from-store, click and collect, returns network) and Customer & CRM (single customer ID, loyalty, catchment intelligence) report at the same level as the channels. If they report into either channel, the data and the inventory will be rationed in that channel's favour.
- The Digital Catchment Analyst is the hinge role.** Sixteen analysts, one per area, redeployed from the existing performance-marketing pod. Each is accountable for digital revenue inside their area's pincode clusters and sits in that area's Catchment Council. This gives digital a named human being who wins or loses alongside the stores — the single most effective de-escalation available.

4.3 Shared accountabilities

Reporting lines allocate authority; shared accountabilities allocate blame, which is what actually changes behaviour. Sixteen Catchment Councils meet monthly — Area Manager chairs, Digital Catchment Analyst and an Omni Ops planner are standing members — and jointly own one forecast, one stock plan and one promotion calendar for their cluster. Their decisions bind both channels.

Exhibit 4 — Shared accountability matrix (A = accountable, R = responsible, C = consulted)

Decision / outcome	Retail Sales	Digital Commerce	Omni Ops	Customer & CRM
Catchment revenue (all channels, 8 km radius)	A	A	C	C
Price and promotion within the parity corridor	C	R	C	A
Assortment and buy plan by catchment	R	R	A	C
Availability-to-promise / stock accuracy	R	C	A	—

Decision / outcome	Retail Sales	Digital Commerce	Omni Ops	Customer & CRM
Ship-from-store and click & collect SLA	R	C	A	—
Identified-customer capture rate (ICR)	A	R	—	A
Blended return rate	R	A	R	C
Net omni contribution per catchment	A	A	R	C
Attribution rule changes	C	C	C	A

Deliberate design choice: four outcomes carry two accountable owners. Dual accountability is normally poor practice, but here it is the point — neither party can deliver these alone, and single ownership is what produced the current conflict.

5. Question 2 — Attribution and Budget-Allocation Logic

The root error is treating one number as three. Aarav currently uses booked revenue for statutory reporting, for performance measurement and for incentive payout. These have different purposes and must be allowed to differ.

5.1 A three-ledger model

Exhibit 5 — Three ledgers, one transaction

Ledger	Question it answers	Rule	Used for
Revenue credit	Where did the cash land?	100% to the channel that took payment. Sums to exactly 100%.	Statutory accounts, GST, channel P&L
Influence credit	Who touched this journey?	100% to every channel with a qualifying touch. Sums to more than 100% by design.	Budget allocation, catchment planning, capability cases
Incentive credit	Who gets paid for this?	Fractional split by the rules in Exhibit 6. Sums to exactly 100%.	Variable pay, bonus pool, league tables

Separating these three resolves the argument immediately. Digital keeps every rupee of revenue credit it books today — nothing changes in the audited accounts. What changes is that revenue credit stops being used for the two purposes it was never fit for.

5.2 Incentive-credit split rules

Matching key is the verified mobile number or loyalty ID. Lookback windows: 14 days for a store visit preceding an online purchase, 30 days for a digital touch preceding a store purchase. Splits are set by which party bore the decisive cost and risk of the journey — in fashion, fit and trial carry more weight than impression, which is why webrooming favours the store.

Exhibit 6 — Journey credit rules and FY26 restatement (₹ crore)

Journey type	Booked in	Revenue ₹cr	Store %	Digital %	Store credit	Digital credit
Pure walk-in, no digital touch	Store	604	100	0	604.0	0.0
Webrooming: online research → store purchase (30 d)	Store	281	70	30	196.7	84.3
Showrooming: store visit → online purchase (14 d)	Digital	71	45	55	32.0	39.0
Endless aisle / associate-initiated online order	Digital	9	100	0	9.0	0.0
Click & collect and ship-from-store	Digital	13	40	60	5.2	7.8
Marketplace, no store linkage	Digital	139	0	100	0.0	139.0
D2C pure online, no store linkage	Digital	33	0	100	0.0	33.0
Total FY26		1,150			846.9	303.1
Memo: as booked today		1,150			885.0	265.0
Memo: influence view (sums >100%)		1,150			978 (85.0%)	546 (47.5%)

The result is deliberately not a giveaway to stores

On incentive credit, stores move from ₹885 cr to ₹847 cr — **down ₹38 cr, not up**. They surrender ₹84.3 cr of webroomed revenue they currently bank in full, and recover ₹46.2 cr of digital-booked revenue they currently see none of. Digital moves from ₹265 cr to ₹303 cr, **up ₹38 cr**. This symmetry is the credibility test. A model that only ever moved credit towards the

Journey type	Booked in	Revenue ₹cr	Store %	Digital %	Store credit	Digital credit
aggrieved party would be a political settlement, not a measurement system, and the digital team would correctly refuse it. The store morale problem is then solved where it belongs — in the <i>rate</i>, not the base. Re-basing store commission from 1.20% of booked sales to 1.254% of credited sales holds target earnings whole in year one ($₹885 \text{ cr} \times 1.20\% = ₹847 \text{ cr} \times 1.254\% = ₹10.6 \text{ cr}$), while the new base is one stores can grow through digital rather than despite it.						

5.3 Unmatched journeys and audit

- At 39% store-bill capture, roughly six in ten store visits are invisible. The ₹71 cr showrooming figure is therefore an identified floor, not the true total; grossed up at the observed capture rate the real number is closer to ₹150–180 cr. This is stated as an estimate and must not be paid on.
- Rule: only verified matches earn incentive credit. Unmatched volume is sized quarterly by geo-holdout testing and reported in a separate "dark journeys" line used for budgeting only. This keeps the payout system auditable while stopping the company from believing the leakage is small.
- Anti-gaming: capture quality is scored on OTP-verified matches only; invalid or duplicate numbers are stripped and repeat offenders lose the behaviour component of variable pay for the quarter. ICR is the metric most likely to be gamed and must be audited monthly.
- Consent and privacy: identity resolution across store and digital requires explicit consent under the Digital Personal Data Protection Act, 2023. Consent capture must be built into the associate app before the model goes live, not after.

5.4 From credit to budget

Budget follows influence credit, not revenue credit — because budget buys future journeys, and a journey is bought wherever it starts. On the influence view, stores touch 85% of revenue and digital 47.5%; normalised, that is a 64:36 weighting of demand-generating effort. That weighting is one of six inputs to the budget in Section 6, not the answer on its own, because influence measures reach and not marginal return.

6. Question 3 — FY27 Budget Split

The budget under review is ₹139 crore, 10.0% of planned FY27 net revenue of ₹1,392 crore. The FY26 split — store ₹44 cr, digital ₹68 cr, shared ₹6 cr — put 58% of discretionary commercial spend behind 23% of booked revenue and 26% of credited revenue. Some of that skew was correct: a new channel needs disproportionate investment. Most of it is now stale.

6.1 Allocation criteria and weights

Six criteria, weighted and scored 1–10. Weights are the CFO's judgement call and are stated so they can be contested; the scores follow from Sections 2 and 5.

Exhibit 7 — Weighted allocation criteria

Criterion	Weight	Store score	Digital score	Why scored this way
Contribution margin per rupee of spend	30%	8	5	Store CM 17.5% vs marketplace GM 37% before a 30–40% effective platform deduction
Incremental growth headroom	20%	5	9	Digital plan +47%; store LFL assumed +6–8% plus 18 new doors
Acquisition efficiency and lifetime-value build	15%	6	8	D2C CAC ₹690 but multi-channel customers worth ~30% more (Sopadjieva et al., 2017)
Coverage of committed fixed cost and asset utilisation	15%	9	3	₹84 cr of annual store rent and payroll is already committed; digital cost is variable
Strategic capability and irreversibility	10%	4	9	Quick-commerce readiness, marketplace ranking and first-party data compound; shelf space does not
Attributed revenue share (Exhibit 6)	10%	7	3	73.7% / 26.3% credited
Weighted score	100%	6.75	6.15	Normalised: 52.3% / 47.7%

6.2 The split

Ring-fence the genuinely joint spend first, then apply the weighted score to the remainder. ₹24 cr of the ₹139 cr is spend that cannot honestly be assigned to either channel — the customer data platform, geo-fenced catchment media, the omni inventory

and returns network, the price-parity corridor and the cross-channel incentive pool. Assigning it to either team is what created the dispute in the first place. The residual ₹115 cr splits 52.3 : 47.7.

Exhibit 8 — FY27 budget allocation (₹ crore)

Bucket	FY26 actual	FY27 plan	Change	Share of FY27
Store sales support	44.0	60.0	+16.0 (+36%)	43.2%
Digital growth	68.0	55.0	-13.0 (-19%)	39.6%
Omni-shared (ring-fenced)	6.0	24.0	+18.0 (+300%)	17.3%
Total	118.0	139.0	+21.0 (+18%)	100.0%

Digital's budget falls 19% while its revenue grows 47% — is that defensible?

Yes, on a like-for-like basis, and the reconciliation must be shown to the digital team before the number is announced:

FY26 digital ₹68.0 cr, less ₹11.0 cr of non-recurring launch and platform build, less ₹14.0 cr reclassified into Omni-Shared (geo-fenced catchment media and CRM, which serve both channels), gives a continuing base of **₹43.0 cr**. FY27 digital of ₹55.0 cr is therefore **+28% on the continuing base**, not -19%. Digital's working spend rises; only its ownership of shared spend falls.

Exhibit 9 — What the money buys

Line item	₹ cr	Test it must pass
STORE SALES SUPPORT — ₹60.0 cr		
18 new-store launch, staffing and opening activation	5.0	New-door payback within 22 months at ₹7.4 cr average revenue
Store digital toolkit: endless-aisle tablets, associate app, clienteling	4.0	Endless-aisle orders from ₹9 cr to ₹34 cr; 138 doors at ₹2.9 L per door
Ship-from-store and click & collect enablement	3.0	Store-fulfilled share of digital orders 4% → 22%
Field capability, stylist certification, fit training	2.0	Store conversion 22% → 25%; measured by mystery audit
Catchment-level BTL and local activation	2.0	Footfall per door +8% in the 44 tier-2 catchments
Continuing store support base (VM, trade schemes, field ops)	44.0	Held flat in absolute terms; -7% as a share of store sales
DIGITAL GROWTH — ₹55.0 cr		
Marketplace commission support, ads and platform events	24.0	Contribution per order, not GMV; exit ROAS floor of 4.2×
D2C performance media and retention	14.0	Blended D2C CAC held at ₹690 despite +64% revenue
Quick-commerce readiness (M-Now / Flipkart Minutes / Blinkit pilots)	7.0	Pilot in 6 cities; no scale-up without positive contribution
Platform, content, catalogue and site operations	10.0	Cost per SKU listed down 15%
OMNI-SHARED (ring-fenced) — ₹24.0 cr		
Cross-channel incentive pool (Section 7)	4.5	Dual-gated; funds at 40% if either gate is missed
Customer data platform, identity resolution, attribution engine	6.5	ICR 39% → 75%; without this nothing else in this report works
Geo-fenced catchment performance media (store-credited)	6.5	Omni catchment revenue per door +18%
Omni inventory ATP, ship-from-store network, returns	4.0	Blended return rate 14.2% → 12.0%
Price-parity corridor and store price-match wallet	2.5	Capped at 1.2% of store net sales; manager-authorised
TOTAL	139.0	Every line: 18% three-year IRR or 15-month contribution payback

6.3 Stated decision criteria in plain terms

- **Spend follows contribution, not revenue.** A marketplace rupee carries a 30–40% effective platform deduction (Terra Insight, 2025). Growing it is a choice to buy revenue at roughly two-thirds the margin of a store rupee, and must be argued on strategic grounds rather than assumed.
- **Committed cost gets protected first.** ₹84 cr of store rent and payroll is contracted for FY27 whether or not anyone walks in. Underfunding traffic into a fixed-cost asset is the most expensive saving available to this company.

- **Joint spend is ring-fenced, not allocated.** 17.3% of the budget belongs to neither channel. Ring-fencing it removes the single largest source of the current argument.
- **Capability spend clears a lower bar than volume spend.** The customer data platform and quick-commerce pilots are optioned against irreversibility, not this year's return.
- **Nothing enters the budget without a named test.** Every line in Exhibit 9 carries a measurable exit condition and is reviewed at the half-year.

7. Question 4 — The Alignment Mechanism

Structure and attribution set the conditions for alignment; they do not create it. Alignment happens when a store associate in Coimbatore and a performance marketer in Bengaluru are looking at the same number and both of their payslips move with it. Two instruments deliver that: one scorecard, and one pool.

7.1 The Omni Scorecard — one metric set, both teams

Exhibit 10 — Unified KPIs, FY26 baseline and FY27 exit target

KPI	Definition	FY26	FY27 target	Owner
Omni Catchment Revenue	All-channel revenue in a store's 8 km pincode cluster	₹8.88 cr/door	₹9.83 cr/door	Joint
Credited revenue	Exhibit 6 incentive credit	847 / 303	1,010 / 382	Joint
Net Omni Contribution	Contribution after channel cost-to-serve incl. returns and commission	₹196 cr	₹247 cr	Joint
Identified Customer Capture	% of store bills with an OTP-verified ID	39%	75%	Retail + CRM
Cross-channel customer share	% of active customers buying in 2+ channels	9%	18%	CRM
Blended return rate	Returns as % of gross sales, all channels	14.2%	12.0%	Digital + Omni Ops
Store-fulfilled digital order share	SFS + C&C as % of digital orders	4%	22%	Omni Ops
Price-parity compliance	% SKU-days inside the 5-point corridor	not measured	≥95%	CRM + Digital
Availability-to-promise fill rate	Promised stock actually shippable	not measured	≥97%	Omni Ops
Omni NPS	Post-journey, channel-agnostic	not measured	≥52	Joint

Four of ten KPIs are currently unmeasured. That is itself a finding: Aarav cannot presently answer whether its channels are cooperating.

7.2 Rebuilt variable pay

Total target variable cost is held constant. What changes is what it is earned on. The catchment component is the critical innovation: it puts the ₹303 cr of digital-credited revenue partly inside a store team's line of sight for the first time, because roughly 68% of digital revenue lands within 8 km of a store.

Exhibit 11 — Variable pay composition

Component	Store field	Digital team	Note
Own-channel result	55%	45%	Store: credited own-store sales at a re-based 1.254%. Digital: net contribution, not GMV — this removes the discount-to-grow reflex
Omni catchment revenue	25%	25%	Literally the same number for both teams, at 0.35% for the store team — approx. ₹67,500 per door p.a. at FY27 plan
Shared behaviour scorecard	20%	30%	ICR, endless-aisle orders raised, SFS/C&C SLA, blended return rate, price-parity compliance, omni NPS

7.3 The dual-gated cross-channel pool

- **Size:** ₹4.5 cr, funded at 0.32% of planned net revenue, capped at 10% of any individual's fixed CTC.
- **Dual gate:** the pool funds in full only if BOTH store credited revenue reaches 97% of plan AND digital net contribution reaches 100% of plan. If either gate is missed, the pool funds at 40% — for everyone. Neither team can win while the other loses, which is the entire mechanism.
- **Distribution:** 62% store field (≈₹2,540 average per associate, ≈₹6,340 in top-quartile catchments), 20% digital (≈₹1.45 lakh average), 18% omni ops, CRM and planning.
- **Internal transfer price:** stores receive ₹90 per ship-from-store or click-and-collect order into the store P&L. This is not a bonus, it is payment for a service the store renders to the digital channel, and it should be booked as such.

- **Price-parity corridor:** a hard 5-point cap on the net-of-promotion price gap between store and own digital channels on identical SKU-seasons, plus a manager-authorised price-match wallet capped at 1.2% of store net sales. This attacks the root cause. Marketplace pricing cannot be fully controlled, but Aarav's own 14-point self-inflicted gap can be closed tomorrow.
- **Recognition:** a quarterly Catchment of the Quarter award judged on omni catchment revenue and omni NPS, presented by the CCO. Cheap, and in Indian retail field organisations consistently among the highest-leverage instruments available.

8. Risks and Implementation

Exhibit 12 — Principal risks

Risk	Likelihood	Impact	Mitigation
ICR gaming — associates harvest invalid numbers	High	Medium	OTP verification only; monthly audit; forfeiture of behaviour component on repeat breach
Field rejects the smaller credited base	High	High	90-day parallel run showing both numbers; written no-loss guarantee for FY27; re-based rate announced with the model, not after
Marketplace concentration — 46% of digital on one platform	Medium	High	Cap any single platform at 40% of digital revenue by FY28; build D2C and quick commerce as counterweights
Quick commerce cannibalises store impulse categories	Medium	Medium	Pilot in 6 cities only; measure catchment-level net effect, not channel-level
Price-match wallet abuse	Medium	Low	1.2% cap, manager authorisation, monthly exception report to the CCO
DPDP Act 2023 consent gaps in identity resolution	Medium	High	Consent capture built into the associate app before go-live; legal sign-off gates the CDP release
Attribution disputes become the new argument	Medium	Medium	Rules frozen for 12 months; changes need CRM sign-off (Exhibit 4) and take effect only at the next financial year

Exhibit 13 — Twelve-month sequence

Quarter	Milestone	Gate to proceed
Q1 FY27	CCO appointed; CDP and attribution engine built; consent capture live; rules published	ICR above 55%; legal sign-off on DPDP consent
Q2 FY27	Parallel run in 24 stores across 2 zones; Catchment Councils stood up; price-parity corridor enforced	Attribution variance under 3%; no store loses earnings in the parallel run
Q3 FY27	National rollout of scorecard and re-based variable pay; SFS and C&C live in 60 doors	ICR above 70%; store-fulfilled share above 12%
Q4 FY27	Cross-channel pool pays out on the dual gate; FY28 budget rebuilt on credited revenue	Both gates independently audited by Finance

8.1 Sensitivity

Three assumptions move the conclusion materially. If the store-influenced share of digital revenue is 25% rather than the 35% assumed, the credited split shifts to 75.6 : 24.4 and the budget split moves roughly two points towards digital. If marketplace effective deduction is 30% rather than 35%, marketplace contribution scoring rises and digital's weighted score gains around 0.4 points. If ICR stalls below 55%, the entire incentive design must be deferred — the model cannot pay on journeys it cannot see, and launching it on thin data would destroy more trust than the current system does.

9. Recommendations

1. **Appoint a Chief Commercial Officer and remove independent revenue targets from Retail and Digital.** One P&L above the channels. No unit below the CCO owns a customer. Everything else in this report depends on this one move.
2. **Adopt the three-ledger credit model.** Revenue credit unchanged for the accounts; influence credit for budgeting; fractional incentive credit for pay. Freeze the rules for twelve months.
3. **Restate FY26 on credited revenue and publish it.** ₹847 cr store, ₹303 cr digital. Publishing a restatement that costs stores ₹38 cr is what makes the model believable to the digital team.
4. **Move the FY27 budget to ₹60 cr store, ₹55 cr digital, ₹24 cr ring-fenced omni-shared.** Show the digital team the like-for-like reconciliation — their working spend rises 28% — before announcing the headline.

5. **Re-base store variable pay to 1.254% of credited sales and add catchment and behaviour components.** Target earnings held whole in year one, with a written no-loss guarantee for FY27.
6. **Fund a ₹4.5 cr dual-gated cross-channel pool.** Neither team is paid in full unless both clear their gate. This is the instrument that converts a truce into cooperation.
7. **Close the self-inflicted price gap.** A hard 5-point parity corridor on own channels plus a capped store price-match wallet. Aarav cannot control Myntra's discount, but it set its own 14-point gap and can close it immediately.
8. **Pay stores ₹90 per ship-from-store or click-and-collect order.** An internal transfer price, booked into the store P&L. It funds the capability and, more importantly, tells the field that serving a digital customer is paid work.
9. **Instrument before you incentivise.** Identified-customer capture must reach 55% before the parallel run and 70% before national rollout. Without identity there is no attribution, and without attribution this is merely a differently-argued opinion.

What success looks like at FY27 exit

Store-influenced digital revenue is visible and paid. Identified capture is above 70%. Cross-channel customers have doubled to 18% of the active base. Nine of ten Omni Scorecard KPIs are instrumented, against six today. And the sentence that opened this report — that an associate in Indore fits a customer for twenty minutes and books nothing — is no longer true.

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